formal discussions and informal conversations at the BIS bimonthly meetings of governors in Basel, Switzerland. Even as central banks, as I've written earlier, embraced more open communication, there remained a view that giving forward guidance was taking openness too far. Some central bankers took a strong position, holding that surprise was an essential element of monetary policy and it would be foolhardy for central banks to voluntarily give up that weapon. There were others who were less robustly opposed; they were circumspect about making a policy commitment that they may not be able to honour.

The crisis tilted the cost-benefit calculus of forward guidance. Central banks discovered, to their pleasant surprise and I may add, enormous relief, that in a time of unprecedented uncertainty and anxiety, a carefully crafted forward guidance can yield rich dividends by way of calming the markets and nudging market behaviour in the desired direction. By far the most high-profile example of forward guidance was the one given by the Fed that the federal funds rate would be maintained at an exceptionally low level 'for an extended period'.

At the Reserve Bank, we deliberated internally on whether to adopt the practice of forward guidance. We recognized that it would not be a totally benign option but decided to go ahead nevertheless, because we felt that the benefits outweighed the costs, especially in a situation of continuing global uncertainty and India's contrarian macroeconomic developments.

The forward guidance is typically one short paragraph in a six-to-eight-page policy document, but we realized that crafting it can be a test of communication skills. Aware that there is a minor industry that sustains itself by parsing these few sentences in great depth and probing for coded messages behind plain English, we spent a disproportionate amount of time debating the exact choice of words, the precise turn of phrase and alternative ways of nuancing. Such agonizing might seem absurd to the uninitiated, but it always proved to be efficient use of time.

Along the way, we discovered several inherent challenges in giving forward guidance. For one, a central bank's indication of how it would act in the future is typically contingent on economic developments. But